NOTES ON REST PERIODS, HOLIDAY PAY, SERVICE CHARGE, AND 13TH MONTH PAY
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Weekly Rest Periods

- If an employee, for religious reasons, prefers a particular day of the week as his rest day, he should make it known to the employer in writing at least seven (7) days before the preferred day
- However, where the choice of the employee will prejudice the operations of the undertaking and the employer cannot normally be expected to resort to other remedial measures, the employer may so schedule the weekly rest day that it meets the employee's choice for at least two (2) days in a month
- Not less than twenty-four (24) consecutive hours after every six (6) consecutive normal work days

Instances when an employer may require his employees to work on any day: (Emergency Rest Day Work)

1. In case of actual or impending emergencies caused by serious accident, fire, flood, typhoon, earthquake, epidemic or other disaster or calamity to prevent loss of life and property, or imminent danger to public safety;
2. In cases of urgent work to be performed on the machinery, equipment, or installation, to avoid serious loss which the employer would otherwise suffer;
3. In the event of abnormal pressure of work due to special circumstances, where the employer cannot ordinarily be expected to resort to other measures;
4. To prevent loss or damage to perishable goods;
5. Where the nature of the work requires continuous operations and the stoppage of work may result in irreparable injury or loss to the employer; and
6. Other circumstances analogous or similar to the abovementioned

Compensation for Rest Day, Sunday, or Holiday Work

- For work done on a rest day and special holidays, the employer must pay the employee his regular remuneration (100%), and an additional sum (premium pay) of at least 30% of the regular remuneration
- For employees paid monthly, the first 100% corresponding to the regular remuneration may or may not already be part of the monthly salary. If it is, then the employee is entitled only to collect the premium of 30%. If it is not, then the employee has a right to receive the entire 130%

Holiday Pay

- Day's pay given by law to an employee even if he does not work on a regular holiday
- This gift of a day's pay is limited to each of the regular holidays listed by law

List of Regular Holidays:

1. New Year's Day – January 1
2. Maundy Thursday – Movable Date
3. Good Friday – Movable Date
4. Araw ng Kagitingan – April 9
5. Labor Day – May 1
6. Independence Day – June 12
7. National Heroes Day – Last Sunday of August
8. Bonifacio Day – November 30
9. Eid al-Fitr – Movable Date
10. Eid al-Adha – Movable Date
11. Christmas Day – December 25
12. Rizal Day – December 30

Rules for Regular Holidays

1. If it is an employee's regular workday
    - If did not work – 100%
    - If worked – 200% for the first eight (8) hours, with an additional 30% of the hourly rate on said day if in excess of eight (8) hours
2. If it is an employee's rest day
    - If did not work – 100%
    - If worked – 200%; 30% of 200% for the first eight (8) hours as premium, with an additional 30% of the hourly rate on said day if in excess of eight (8) hours

List of Special Holidays:

1. Chinese New Year – February 19
2. EDSA Revolution – February 25
3. Black Saturday – Movable Date
4. Ninoy Aquino Day – August 21
5. All Saints' Day - November 1
6. Last Day of the Year – December 31
7. Special Non-Working Holiday
8. Special Public Holiday
9. Special National Holiday

Rules for Special Holidays

1. If you did not work – no pay, unless there is a favorable company policy, practice, or collective bargaining agreement granting payment of wages on special days even if unworked
2. If you worked – plus 30% of the daily rate of 100% for the first eight (8) hours, with an additional 30% hourly rate on said day in excess of eight (8) hours
3. If worked and falls on employee's rest day – plus 50% of the daily rate of 100% for the first eight (8) hours, with an additional 30% of the hourly rate on said day in excess of eight (8) hours

Special Working Holidays

- For work performed, an employee is entitled only to his basic rate
- No premium pay is required since work performed on said days is considered work on ordinary working days

Double Holiday; Holiday-Sunday

- On a double regular holiday, an employee is entitled to receive at least 200% of his basic wage even if he did not work on that day, provided he worked or was on leave with pay on the preceding day. If he worked, he is entitled to 300% of his basic wage
- When a regular holiday falls on a Sunday, the following Monday shall not be a holiday unless a proclamation is issued declaring it a special holiday

*An employee is entitled to Holiday Pay for both days if he works on the first holiday, which entitles him to pay on the second holiday

Bad Weather Days

- The policy on whether work shall be suspended or not in the private sector during bad weather or emergency lies on the sound judgment of the employer
- No deduction should be made from the employees' salaries if it has been the practice or policy of the employer to pay their salaries in such situations or where an individual or collective agreement stipulates the payment of wages during such calamities. If there is no such practice, policy, or agreement, the employer may charge said absence against the employee's accrued or future leave credits

Non-Working/Scheduled Rest Day

- Where the day immediately preceding the holiday is a non-working day in the establishment or a scheduled rest day of the employee, he shall not be deemed to be on leave of absence on that day, in which case he shall be entitled to the holiday pay if he worked on the day immediately preceding the non-working holiday or rest day

Right to Holiday Pay

1. In case of absences
2. In case of temporary cessation of work

Right to holiday pay in case of absences

- If an employee is on leave of absence with pay on the day immediately preceding a regular holiday, he is entitled to holiday pay
- If an employee is on leave of absence without pay on the day immediately preceding a regular holiday, he is not entitled to holiday pay unless he works on such regular holiday

Right to holiday pay in case of temporary cessation of work

- An employee is entitled to holiday pay for the regular holidays falling within the period in cases of temporary shutdowns or cessation of work when there is an annual inventory, or when there are repairs or cleaning of machinery and equipment being done
- The employer may not pay his employees for the regular holidays during the suspension of work if the cessation of operation is due to business reverses

Hourly-Paid Teachers

- Hourly-paid teachers in private schools are obliged to work and consent to be paid only for work actually done, except in emergency or fortuitous events
- Hourly-paid teachers may not be paid for regular holidays, whether it be during the regular semesters or during the semestral vacations. However, hourly-paid teachers should be paid their regular hourly rate on days declared as special holidays

Workers Paid by Results or Output

- This holiday pay shall not be less than his average daily earnings for the last seven (7) actual working days preceding the regular holiday
- However, in no case shall the holiday pay be less than the applicable statutory minimum wage rate

Seasonal Workers

- Seasonal workers may not be paid the required holiday pay during the off-season when they are not at work

Seafarers

- Any hours of work or duty, including hours of watch-keeping performed by the seafarer on designated rest days and holidays, shall be paid rest day or holiday pay

Employers Covered by Service Charges

1. Hotels, restaurants, lodging houses, night clubs, cocktail lounges, massage clinics, bars, casinos and gambling houses, and similar enterprises
2. Those entities operating primarily as private subsidiaries of the government

Service Charges of Employees

- Service charges shall apply to all employees of covered employers regardless of their positions, designations or employment status and irrespective of the method by which their wages are paid

Exception to Share in Service Charges

- Managerial employees
- One who is vested with powers or prerogatives to lay down and execute managerial policies, and hire, transfer, suspend, lay off, recall, discharge, assign, or discipline employees

Employees Covered by Share in Service Charges

- All rank-and-file employees, including regular, non-regular, contractual, and agency-hired workers in covered establishments (such as hotels, restaurants, bars, lodging houses, and casinos)

Distribution of Service Charges (R.A. No. 11360)

- 100% of the service charges shall go to the employees and the management receives 0%

Manner of Distribution of Share in Service Charges

- The shares shall be distributed to employees not less than once every two (2) weeks or twice a month at intervals not exceeding fifteen (15) days

Integration

- If the service charge is abolished, the shares of covered employees shall be considered integrated into their wages

Protection of Wages

- Service charges cannot be used by an employer to offset any increases in the mandate minimum wage

Employers Covered by 13th Month Pay

- All employers are required to pay all their rank-and-file employees a 13th month pay not later than December 24 of each year, provided that they have worked for at least one (1) month during the calendar year

Employers Exempted from 13th Month Pay

1. Government, its political subdivisions, including GOCCs, except those operating essentially as private subsidiaries of the government
2. Employers already paying their employees a 13th month pay or more in a calendar year or its equivalent
3. Employers of those who are paid on purely commission, boundary or task basis and performing specific work, regardless of the time consumed in the performance thereof

The word "equivalent" includes:

1. Christmas bonus, mid-year bonus, cash bonuses
2. Other payments amounting to not less than 1/12 of the basic salary

*Equivalent excludes cash and stock dividends, cost of living allowances, and all other allowances regularly enjoyed by the employee as well as non-monetary benefits

Time of Payment

- GR: not later than December 24 of each year
- XPTN: the employer may give his employees half of the required 13th Month Pay before the opening of the year and the other half on or before December 24 of each year
- The frequency of payment of the 13th Month Pay may be the subject of an agreement between the employer and the recognized collective bargaining agreement of the employees

13th Month Pay in Special Cases

1. Workers Paid by Results
2. Fixed or Guaranteed Wages
3. Workers with Multiple Employers
4. Private School Teachers
5. Resigned or Separated Employees
6. Terminated Employees

13th Month Pay of Workers Paid by Results

- Employees who are paid on piece-work basis are entitled to 13th Month Pay

Piece-Rate Workers

- Entitled 1/12 of the total basic salary earned by an employee within a calendar year
- The base amount (basic salary) shall include:
  a. cost of living allowances integrated into the basic salary
  b. all remunerations or earnings paid by the employer for the services rendered
- Exclusions: allowances and monetary benefits which are not considered as integrated as part of the basic salary, such as:
  a. unused vacation and sick leave credits
  b. overtime
  c. premium
  d. night shift differential
  e. holiday pay
  f. cost of living allowances

Workers with Fixed or Guaranteed Wage

- Entitled to 13th month pay
- The basis for the computation shall be their fixed or guaranteed wage and their commission

Workers with Multiple Employers

- Government employees working part-time in private enterprises, including private educational institutions, as well as employees working in two or more private firms, regardless if full or part-time basis, are entitled to the required 13th month pay from all their private employers regardless of their total earnings from each

Private School Teachers

- Entitled to 13th month pay, regardless of the number of months they teach or are paid within a year, if they have rendered service for at least one (1) month within a year

*Overload pay is not included in the computation for 13th month pay as overload is not overtime

Resigned or Separated Employees

- Entitled to 13th month pay in proportion to the length of time he worked during the year, calculated from the time he started working during the calendar year up to the time of his resignation or termination from service

Terminated Employees

- The payment of 13th month pay may be demanded by the employee upon the cessation of the employer-employee relationship

Commissions

- If the commissions may be properly considered part of the basic salary, then they should be included.
- If they are not an integral part of the basic salary, then they should be excluded

Substitute Payment

- Substitute payment is not allowed
- Benefits in the form of food or free electricity are not proper substitutes for the 13th month pay required by law
- Neither may year-end rewards for loyalty and service be considered in place of 13th month pay

Productivity Bonuses

- These have no direct or necessary relation to the amount of work usually done by individual employees
- A bonus is an amount granted and paid ex gratia to an employee
- Since an employer cannot be compelled to pay a productivity bonus to its employees, it should follow that such productivity bonus should not be deemed to fall within the "basic salary" of employees in the computation of their 13th month pay